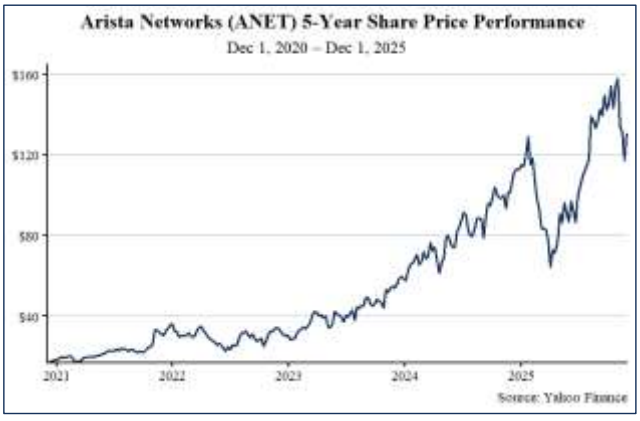
Arista (NYSE: ANET)

CURRENT PRICE: $129.34

Company Overview

Founded in 2004 and originally known as Arastra, Arista Networks, Inc. (NYSE: ANET) pioneered software-driven cloud networking, designing high-performance Ethernet switches and routing platforms for large data center, AI, cloud, and high-performance computing environments. Its portfolio centers on switching platforms for hyperscale and enterprise data centers, a growing routing line, the EOS network operating system that runs across all systems, and CloudVision, a cloud management platform that unifies automation, telemetry, and analytics across data center, campus, and wide-area domains. Strategically, Arista positions itself as a leader in client-to-cloud networking, differentiating through a single software stack, merchant-silicon hardware, open standards, and deep telemetry that supports automation, security, and network detection and response. The company is increasing its mix of software, subscriptions, and services, aiming to capture more data center, campus, and AI networking spend as customers modernize legacy networks, converge switching and routing, and seek programmable platforms that scale reliably with cloud and AI workloads. Arista's customer base spans cloud "titans," large enterprises, and service providers, creating long product cycles and high switching costs once its platforms are designed into critical networks. Its asset-light model and strong margin profile provide flexibility to keep investing heavily in R&D and AI-centric networking while returning capital to shareholders. Due to the company's relative youth and constant need for reinvestment and R&D, ANET does not pay a dividend and has no plans to begin.



Recommendation

BUY

HOLD

SELL

Financial Information

Current Price	$128.11
Market Cap	$161.33m
Beta (5y monthly)	1.411
EV/EBITDA	41.00x
EV/EBIT	41.74x
EPS (diluted)	$2.63
Employees	4,412
P/E	49.20x
52 Week Range	$64.37 - $162.03

Investment Theses

Artificial Inflation of AI Demand

Valuation Excess

High Growth Expectations Price in

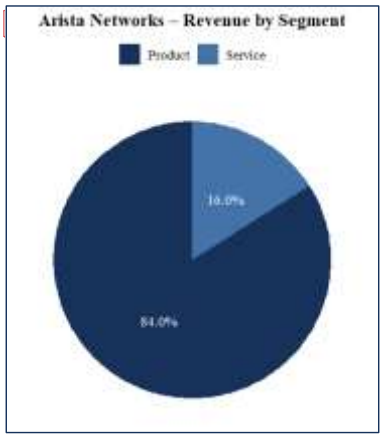
Energy Constraints

Hyperscaler Revenue Concentration

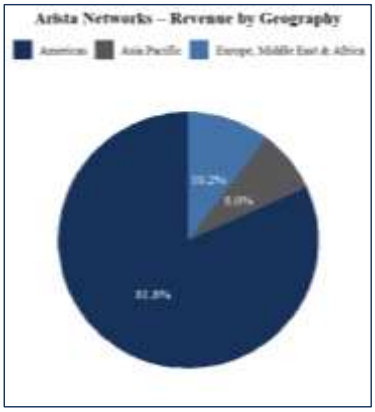
Cyclical Sensitivity

Revenue Breakdown

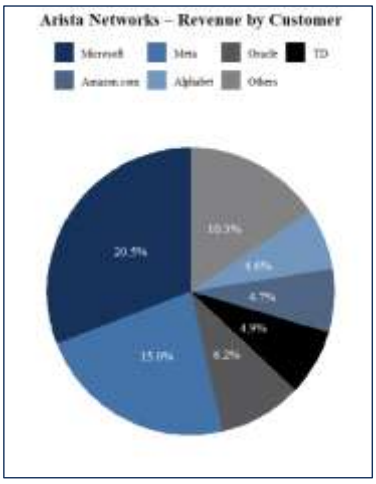
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Arista's revenue splits into two main segments: products (hardware and related software sales) and services (support, maintenance, subscriptions, and software-based services). Product sales account for 84% of total revenue, while services contribute the remaining 16%. The product segment includes high-performance Ethernet switches and routers, both fixed and modular, designed for data centers, cloud infrastructure, enterprise campuses, and AI workloads. These switches support a variety of speeds from 10G up to 400G and beyond. On the software side, Arista provides its own operating system, the Arista EOS, which runs across all its hardware. EOS offers capabilities such as programmability, automation, network virtualization, live upgrades, and high availability. Over time, management aims to grow the higher-margin services and software mix, improving revenue visibility and deepening long-term customer relationships tied to EOS and CloudVision.



Geographically, Arista reports revenue across the Americas (81.8%), Asia-Pacific (8%), and Europe, the Middle East & Africa (10.2%). Most revenue originates in the U.S. due to the high concentration of cloud providers, large enterprises, and AI-focused hyperscalers. The AI spending boom has been a major catalyst for U.S.-driven growth, up from 72.8% of revenue in 2017 to today's 81.8%. International revenue is supported by similar enterprise and cloud adoption trends, with growth tied to data-center buildouts, expanding campus networks, and increasing cloud demand in both Europe and Asia-Pacific markets. Additionally, Arista's international sales benefit from multinational customers standardizing their global networks on a single OS and vendor architecture. The heavy Americas mix underscores a dependence on U.S. IT and AI expansion.



Arista's customer base is highly concentrated among major cloud providers and large technology companies. The largest share comes from Microsoft at 20.5%, followed by Amazon at 15.0%. Other significant customers include Meta (6.2%), Oracle (4.9%), Alphabet (4.7%), and TD (4.6%), while all remaining customers collectively account for 10.3% of revenue. This concentration highlights Arista's deep integration with hyperscaler and cloud-driven workloads, which continue to be the primary engine behind its growth. While this reliance on a few cloud giants carries significant customer-concentration risk, it also reflects Arista's market-leading position within next-generation datacenter and AI-focused networking. Assuming AI infrastructure spending continues to accelerate, these customers are likely to remain core drivers of Arista's long-term revenue trajectory. The push into enterprise campus and routing markets offers a potential offset over time, broadening the customer base beyond a handful of hyperscalers.

Management

CEO & Chairperson



Jayshree V. Ullal is Arista's Chairperson and CEO, leading strategy in cloud and AI data-center networking since co-founding the company in 2008. She previously ran Cisco's data-center switching business and is widely recognized as a top technology CEO.

Founder & Chief Architect

Andy Bechtolsheim is Arista's Co-Founder and Chief Architect, guiding long-term product development, silicon, and optics strategy. He led high-speed switching initiatives at Cisco and has been an early investor in multiple landmark tech firms.



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Founder, President, & CTO



Kenneth Duda is Arista's President, Chief Technology Officer, and Founder, responsible for product innovation and software architecture. The architect of the EOS network operating system, he also is a key contributor to network-virtualization standards.

CFO & SVP

Chantelle Breithaupt is Senior Vice President and Chief Financial Officer, overseeing global finance, capital allocation, and investor relations. She became CFO in 2024 after roles at Cisco and several GE businesses, bringing years of international finance experience.



Others

Name	Title
Chris Bellmare	SVP, Americas
Mark Foss	SVP, Global Operations
Hugh Holbrook	Chief Development Officer
Ashwin Kohli	Chief Customer Officer
Tyler Lamoreaux	SVP, Cloud/AI
John McCool	SVP & Special Advisor
Todd Nightengale	President & COO
Christopher Schmidt	Chief Sales Office

Board of Directors

Name	Title
Jayshree V. Ullal	Chairperson, CEO
Kelly Bodnar Battles	Member
Lewis Chew	Member
Kenneth Duda	Member, President, CTO
Charles Giancarlo	Member
Greg Lavender	Member
Dan Scheinman	Member
Mark Templeton	Member
Nick Mehta	Member
Yvonne Wassenaar	Member

Recent Developments

Over the last several months, Arista insiders, led by CEO and Chair Jayshree Ullal and President/CTO Kenneth Duda, have been net sellers of stock, with no offsetting insider buying and roughly $200–230 million of insider sales in the most recent quarter alone. These trades have generally been executed under pre-arranged Rule 10b5-1 plans and look more like programmatic diversification and option-related selling than a signal of near-term business stress, but they do mean insider ownership is gradually drifting lower.

Industry Analysis

AI Value Chain

The AI value chain begins with chip manufacturers, the companies that design and produce the GPUs and networking processors used to train and run AI models. Major players in this category include NVIDIA, AMD, and Intel. These chips are sold directly to the large hyperscalers such as Microsoft Azure, Amazon Web Services, and Google Cloud.

The hyperscalers use these chips to build large data centers filled with servers, storage systems, and high-performance networking hardware. These facilities generate compute, which is the processing power needed to run software, train AI models, and deliver cloud services.

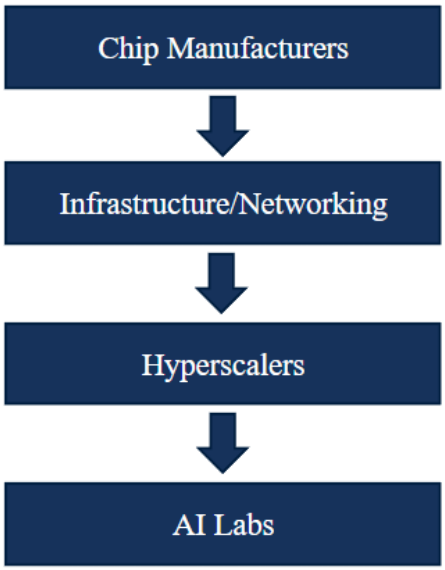
To operate at this scale, hyperscalers depend on infrastructure companies. This is where Arista Networks fits in. Arista supplies the high-speed switches and networking equipment that connect thousands of GPUs into large clusters. Other companies in the networking layer include Cisco, F5, and Juniper.

At the end of the value chain are the AI labs, which purchase compute from hyperscalers to train models and build products. This is where organizations like OpenAI, Anthropic, and Meta operate, using the compute provided by the hyperscalers to develop advanced AI systems.

Macro-Economic Factors

- **Rising Unemployment (4.4%)** — The upward trend in unemployment signals a cooling economy, increasing the likelihood that companies slow or trim IT spending, including planned networking and data-center upgrades.
- **Inflation at ~3%, With Added Tariff Pressure** — Inflation remains above pre-pandemic norms, and renewed tariff uncertainty is putting additional cost pressure on hardware components. Vendors may raise prices to protect margins, which could discourage customers from moving ahead with large networking purchases.
- **Fed Funds Rate at 3.75–4.0% — Data-Center Capex Impact**
  Higher interest rates raise financing costs for data-center construction and AI-infrastructure projects. Hyperscalers remain committed to AI investments, but elevated rates may result in more phased, carefully timed spending rather than aggressive build-outs.

Value Chain



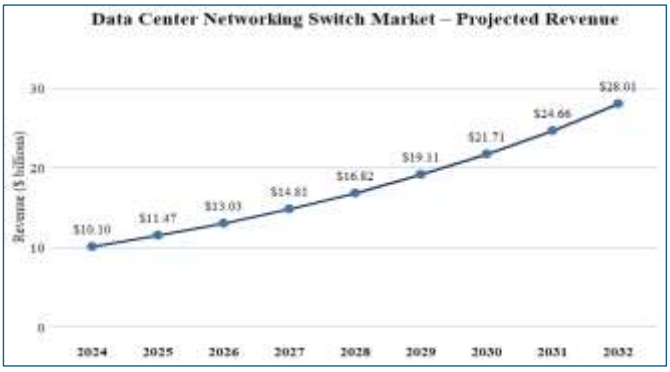
Industry Overview

Competitive Landscape

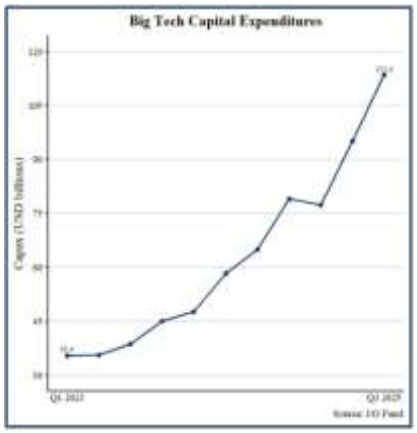
The Communications Equipment industry includes a specialized segment focused on data center networking switches. These switches are essential hardware that connect servers, storage devices, and other network components within a data center, enabling high-speed, low-latency, and reliable communication to support cloud computing, AI workloads, and other enterprise applications. While the broader data networking equipment industry includes roughly 141 companies, the data center switch market is more concentrated, with approximately 50 active competitors. The segment is dominated by Cisco, Arista, and Mellanox (acquired by NVIDIA in 2019), highlighting the high barriers to entry, including the need for advanced technology, proven reliability, scale, and strong customer relationships.

The market is expected to grow rapidly, with a projected CAGR of 13.6% from 2024 to 2032, reaching an estimated $28.01 billion by 2032. Key growth drivers include increasing adoption of cloud services, the rise of AI and machine learning workloads requiring high-performance infrastructure, modernization of data center architectures, and continued investment by hyperscale providers in new facilities and upgrades. Additional factors supporting growth include rising demand for high-speed networking equipment, ongoing digital transformation initiatives across industries, and the need for low-latency, scalable data center networks to support emerging technologies such as 5G, edge computing, and advanced analytics. The combination of high technical requirements, concentrated market share, and robust demand trends positions the data center switch segment as a rapidly expanding and strategically important area within the broader communications equipment industry.

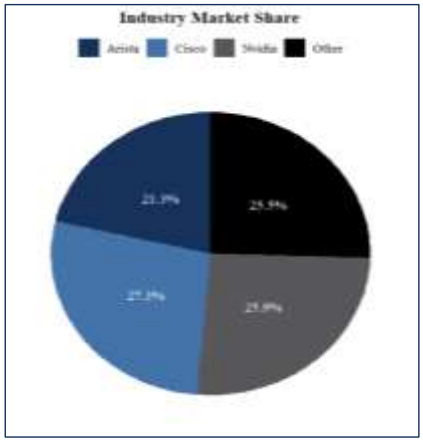
Market Share



Drivers



Market Share



Competitors

Competitor	Market Cap (bn)
Cisco Systems, Inc.	$317.1
Nvidia InfiniBand	$4,465.9
Extreme Networks	$2.43
Hewlett Packard	$33.3
Huawei	PRIVATE
Nokia	$30.5

SWOT Analysis

Strengths	Weaknesses
- Differentiated software-first platform. - Leadership in cloud & data-center Ethernet. - Experienced management and engineering bench.	- High customer concentration. - Relatively narrow product scope vs. peers - Emerging brand in newer markets (AI Ethernet, WAN, security).
Opportunities	**Threats**
- AI networking build-out. - Expansion in campus, routing, and security. - Continued cloud & digital transformation.	- Intense and evolving competition. - Macroeconomic and IT-spending cyclicality. - Disintermediation by hyperscalers or partners.

Rationale

Arista's core strengths lie in its software-first model and entrenched position in cloud data-center networking. Its EOS operating system runs as a single binary across switching and routing platforms, simplifying deployment, reducing errors, and enabling fast, uniform feature rollouts. This design has helped Arista gain and defend share in high-speed cloud and data-center Ethernet, where reliability and automation matter more than raw port speed. The result is a business with strong margins, healthy cash flow, and a diversified mix across cloud and AI titans, large enterprises, and service providers, giving Arista meaningful pricing power and customer stickiness.

These advantages are offset by several weaknesses. Revenue is heavily concentrated in Microsoft and Meta, whose spending cycles and bargaining power introduce volatility and margin pressure. Arista also depends on a limited set of merchant silicon and component suppliers, constraining its control over costs and exposing it to supply disruptions. Relative to full-stack incumbents that bundle compute, storage, networking, and security, Arista's narrower focus can be a disadvantage in large, bundled enterprise or public-sector deals.

On the opportunity side, the most important growth driver is the multi-year build-out of AI infrastructure, particularly AI networking. As GPU and accelerator clusters scale, networking represents a growing share of total system cost, and Arista is promoting Ethernet fabrics as a compelling alternative or complement to legacy AI interconnects. Beyond AI, the firm is expanding into campus switching and wireless, cloud-managed WAN, and network-centric security and observability, creating cross-sell potential and room for a higher mix of recurring software and services.

Key threats stem from both competition and industry structure. Arista faces pressure from large incumbents, white-box offerings, and vertically integrated ecosystems that tightly couple networking with proprietary compute and software. In AI, the interconnect standards landscape remains fluid, and a shift away from Ethernet-based architectures could limit upside. Macroeconomic slowdowns, supply-chain disruptions, and trade restrictions also pose risks to timing and profitability, while Arista's largest cloud customers retain the scale and technical capability to pursue in-house or white-box networking solutions, potentially capping Arista's share of their spend.

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ESG Analysis

ESG Score – 3.69

Pillar/Issue	**Weight**	**Score**	**Peer Rank**
Environmental	**27.27%**	**3.00**	**Leading**
Sustainable Product	100%	3.00	Leading
Social	**45.45%**	**3.10**	**Leading**
Social Supply Chain Management	41.13%	3.00	Leading
Labor & Employment Practices	29.30%	3.39	Above Median
Product Quality Management	22.12%	3.00	Leading
Data Security & Customer Privacy	4.42%	0.00	Lagging
Community Rights & Relations	3.03%	10.00	Leading
Governance	**27.27%**	**5.60**	**Above Median**
Board Composition	35.00%	6.88	Leading
Executive Compensation	24.94%	6.55	Leading
Shareholder Rights	24.94%	2.29	Lagging
Audit	15.12%	7.80	Leading
Overall Score	**-**	**2.53**	**Above Median**

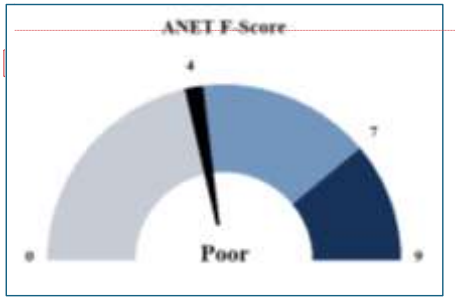
ESG stands for Environmental, Social, and Governance, and is a measure of how responsibly a company operates beyond its financial results. Components include environmental impact, employee treatment, and shareholder rights. ESG scores (here from Bloomberg) range on a numeric scale and allow investors to compare companies within the same industry. Higher scores generally indicate stronger ESG practices.

From an ESG perspective, Arista Networks is an above average but uneven performer. Its overall ESG score of 3.69 and "Above Median" peer rank indicate that Arista outperforms most communications-equipment peers on sustainability measures. The Environmental pillar scores 3.0 and is rated "Leading," driven by a 100% weighting to sustainable product metrics such as energy-efficient offerings, lifecycle design, and take-back programs, all of which align well with data-center customers seeking to lower power usage and e-waste. The Social pillar scores 3.10 and is also "Leading," supported by strong social supply-chain management, solid labor and employment practices, and positive community relations, as reflected in high scores for supplier oversight and equal-opportunity policies. However, data security and customer privacy score 0.00 and are marked "Lagging," which is notable given Arista's role in cloud and AI networking. Governance is a relative strength, with a 5.60 score and "Above Median" rank driven by board composition, independence, diversity, and audit quality, though shareholder rights score just 2.29 and are rated "Lagging." Overall, Arista offers investors a generally favorable ESG profile with clear product and governance strengths, offset by meaningful privacy and shareholder-rights risks.

ESG Future at Arista

Arista's management is positioning ESG as an ongoing strategic priority. The Audit Committee and an internal sustainability group oversee climate, cybersecurity, supply-chain responsibility, and human capital. Culturally, "The Arista Way" emphasizes integrity and customer success, supported by a detailed Code of Ethics, anti-corruption policies, and whistleblower channels. To provide transparency and accountability, Arista supplements these efforts with regular ESG disclosures that outline progress on environmental metrics, workforce initiatives, and governance practices. Looking ahead, Arista has set a net-zero roadmap targeting a meaningful reduction in Scope 1–3 emissions by 2030 and net-zero by 2050, backed by efforts to expand renewable-energy use. On the social side, management is leaning into employee development, wellness, and inclusion, using engagement surveys and external benchmarks to refine future initiatives, and the Arista Foundation does philanthropic work in education and hunger relief. Governance priorities remain maintaining a largely independent and diverse board, tying executive compensation to performance, and deepening shareholder outreach and risk-oversight practices as ESG expectations rise.

Risk Analysis

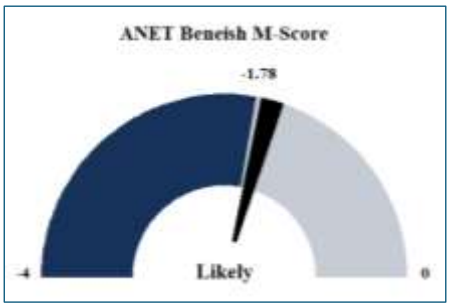


The Piotroski F-score is a number between 0 and 9 which is used to assess strength of company's financial position. It considers a company's profitability, leverage, and operating efficiency. Arista's F-score is 4, putting at the top-end of the Poor category. While not ideal, this value is in-line with Arista's peer companies, who have an average F-score of 4.17. Arista is strong in the ROA, OCF, share count, and gross margin categories. Weaknesses are present in ROA change, accruals, leverage change, and current ratio and asset turnover ratio changes.

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The Altman Z-score is used as a predictor of bankruptcy, or financial distress. Arista has an F-score of 26.7, indicating bankruptcy risk is minimal. Outside of VIAV, Arista's peer companies have similar bankruptcy risk, with the average Z-score being 4.1. Arista has a particularly strong Z-score due to its high market cap and incredibly low levels of debt. This makes its Z4 score 39.99, singlehandedly giving Arista a strong Z-score. The strong Z-score indicates that despite Arista's not ideal financial position, bankruptcy risk is still minimal.



The Beniesh M-score is used to determine the likelihood that a firm manipulates its earnings. Scores greater than -1.78 indicate likely manipulation, while scores below -2.22 indicate manipulation is not likely. Arista has an M-score of -1.66, indicating likely manipulation. This is in-line with Arista's peers, as four of the six are also likely manipulators. While the M-score does not prove that earnings manipulation has occurred, it does suggest heightened risk and warrants closer examination of Arista's financial disclosures.

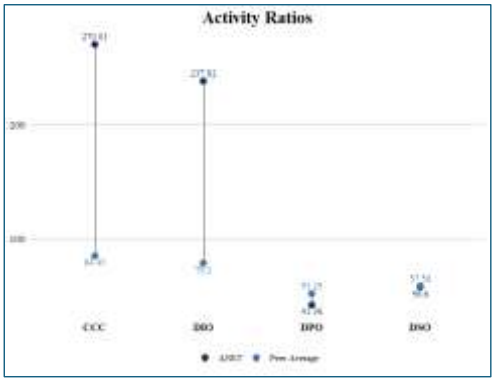
Litigation Concerns

Arista has faced a rising amount of litigation cases recently. In the past two years, the company has faced 6 lawsuits, with 4 of those coming in 2025. This amount is large relative to Arista's comparable companies, excluding broader-industry giants Cisco and Motorola, who see nine times more litigation than the remaining peers. Historically, most Arista's litigation has dealt with patent issues, however recently that has changed. In 2025, there was only one patent-specific case, with the other 3 cases pertaining to General Contract, Antitrust, and a miscellaneous civil case. Of these cases, the patent case poses the most risk, as it could have direct impact to Arista's product offerings, however this case is young. The contract case does pose some risk, as the plaintiff is claiming $5B in damages, however that case is also young and unlikely to have that impact. The antitrust case does not have Arista listed as a defendant, but rather an interested party. The miscellaneous civil case poses little to no risk and is related to the General Contract case.

Other Analyses

Ratio Analysis

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Relative to peers, Arista's working-capital profile is notably inventory-heavy. Its cash conversion cycle is roughly 270 days versus a peer average of about 84 days, driven largely by days inventory outstanding of approximately 238 days compared with 78 days for peers, while receivables and payables are much closer to industry norms (DSO ~56–58 days; DPO ~41 vs. 51 days). Overall, the activity ratios suggest that the main drag on Arista's efficiency is slower inventory turnover rather than collection practices, highlighting an opportunity to tighten inventory management and potentially optimize supplier terms over time.

Ratio	ANET	Peer Avg
EPS	2.23	4.04
Profit Margin	40.73	9.94
ROIC	28.73	10.57
ROE	31.74	3.61
ROA	21.73	6.22
Asset Turnover	0.55	0.69

Arista's profitability and return metrics are significantly stronger than those of its peers. While its standalone EPS is lower (2.23 vs. 4.04), Arista generates a profit margin of 40.7%—more than four times the peer average of 9.9%—and delivers markedly superior returns on invested capital (28.7% vs. 10.6%), equity (31.7% vs. 3.6%), and assets (21.7% vs. 6.2%). The only area where Arista trails is asset turnover (0.55 vs. 0.69), indicating a slightly more asset-intensive model, but the company more than compensates through exceptionally high margins and capital efficiency, resulting in best-in-class overall profitability. These metrics underscore Arista's strong competitive positioning and suggest ample capacity to reinvest in growth while still returning capital to shareholders.

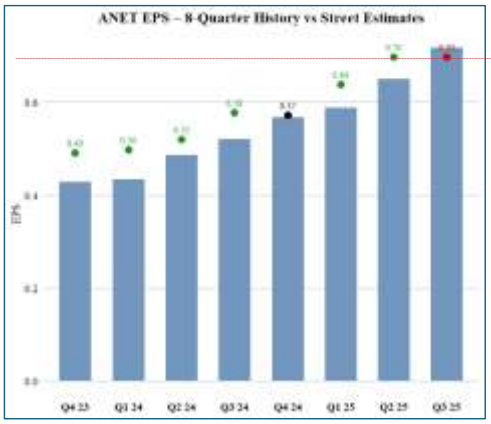
Institutional Ownership

Holder	% Held
Andreas von Bechtolsheim	14.59%
The Vanguard Group Inc	7.94%
Blackrock Inc	7.10%
State Street Corp	3.68%
T Rowe Price Group	2.92%
FMR LLC	2.54%
Jayshree V Ullal	2.31%

Arista's ownership structure combines a large founder stake with substantial index and active institutional ownership. Co-founder and Chief Architect Andreas von Bechtolsheim is by far the largest holder at roughly 14–15% of shares outstanding, giving management strong economic alignment with long-term shareholders. CEO Jayshree Ullal also holds a meaningful position (about 2–3%), reinforcing insider commitment to value creation. The rest of the top holders are predominantly large, long-only institutions. Vanguard (7.9%), BlackRock (7.1%), State Street (3.7%), T. Rowe Price (2.9%), FMR/ Fidelity (≈2–3%), and Geode Capital (2.1%) together own a sizable portion of the float and reflect Arista's inclusion in major index and growth-oriented portfolios. This mix of concentrated founder ownership and diversified institutional support typically provides both governance stability and ample trading liquidity, while still leaving room for active managers and retail investors to influence marginal pricing.

Other Analyses, Cont.

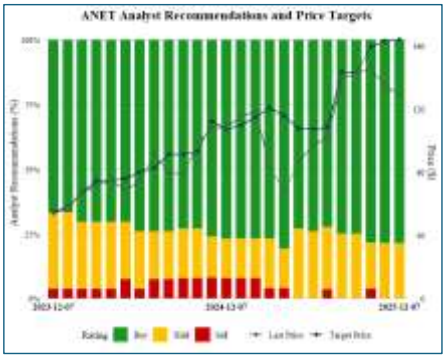
Earnings History



Over the last eight quarters, Arista has delivered a consistent upward trend in earnings, with quarterly EPS rising from the mid-$0.40s in late 2023 to roughly the mid-$0.60s by 2025. The chart shows that management has increased profitability as revenue has grown. Just as importantly, Arista has consistently met or modestly exceeded street expectations over this period, as highlighted by the green markers sitting above the blue bars, signaling that the company has built a track record of conservative guidance and solid execution. This pattern of rising EPS projections and frequent beats versus consensus supports the view that Arista has benefited handsomely from a recent history of industrywide growth, despite the recent miss in Q3 2025.

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Analyst Recommendations



Despite the high growth expectations, Arista is still a well-liked investment by many analysts, as it has been for much of the past two years. Since December 2023, Arista has perpetually had a buy rating from at least 60% of all analysts, with sell recommendations never gaining above 10%. The same holds true today, as Arista holds buy recommendations from 22 analysts and hold recommendations from 6. No analysts are advocating for a sell, giving Arista a 78.6%/21.4%/0% buy/sell/hold breakdown currently. The twelve-month target price sits at $163.63, giving Arista a current projected upside of just over 30%.

Bollinger Bands

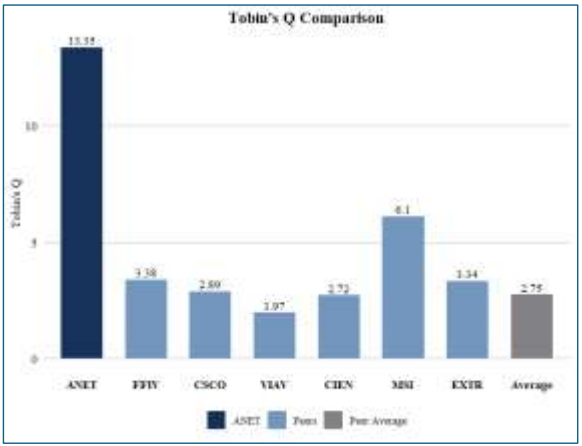


Arista's Bollinger Bands highlight a year of strong but volatile price action. After a sharp selloff early in 2025 that briefly pushed the stock below the lower band, ANET rebounded and spent much of the summer riding the upper band as momentum accelerated. In the fall, the shares became extended again and pulled back from recent highs, briefly testing the lower band before bouncing. Overall, the pattern suggests a primary uptrend with periodic overbought and oversold swings around the 20-day moving average. Currently, Arista's price sits almost directly on the 20-day moving average, with the top and bottom bands converging, indicating there is little signal to be made right now.

Financial Analysis

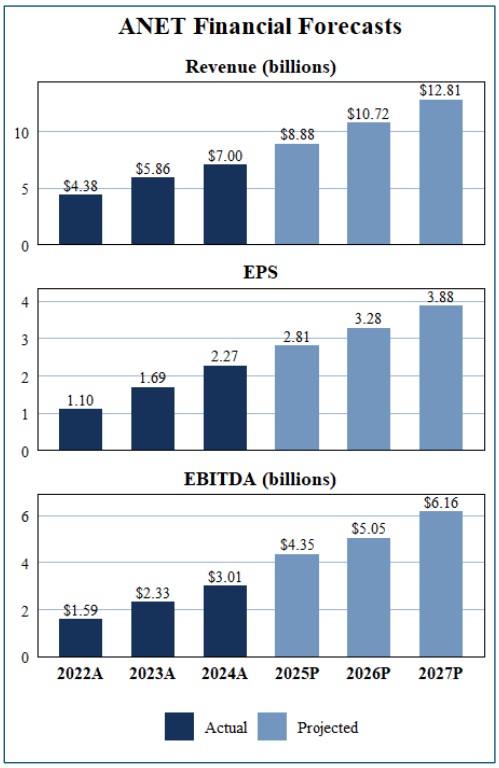
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Tobin's Q



Tobin's Q comparison shows that Arista trades at a dramatically higher valuation than its peer group, with a Q of 13.35 versus a peer average of 2.75. Even the highest peer, Motorola Solutions at 6.1, is less than half of Arista's multiple. This sizable premium suggests investors are capitalizing Arista's assets aggressively, reflecting expectations for superior growth and profitability from its cloud and AI networking franchise, but also leaving less room for error relative to peers. Arista's current valuation and high expectations of future growth (see below) will be highly dependent on the continued expansion of the industry and the firm's ability to hold on to a substantial market share.

Forecasts



Arista's recent financial performance have caused a strong growth trajectory from many analysts. Backed by natural growth and some growth due to M&A (see appendix). Revenue increased from roughly $4.4 billion in 2022 to $5.9 billion in 2023, a 33.8% jump driven by cloud and enterprise demand. Analysts project revenue of $8.9 billion in 2025, $10.7 billion in 2026, and $12.8 billion in 2027, a 20%+ growth each year. These projections are broadly consistent with management's own long-term outlook, which calls for revenue to reach roughly $10.5 billion in 2026 and then grow at a mid-teens rate thereafter, supported by rising AI networking demand, the recent VeloCloud acquisition, and continued share gains in cloud and enterprise data-center switching. Profitability is expected to scale with this growth. EBITDA has already risen from $1.6 billion in 2022 to $3.01 billion in 2024, expanding margins from the mid-30% range to the low-40s, and analysts project EBITDA to reach $4.4 billion in 2025, $5.1 billion in 2026, and $6.2 billion in 2027, keeping EBITDA margins in the high-40% range. EPS follows a similar pattern, increasing from $1.10 in 2022 to $2.27 in 2024, and then to an estimated $2.81, $3.28, and $3.88 in 2025–2027, which implies high-teens annual EPS growth over the forecast period.

Investment Thesis

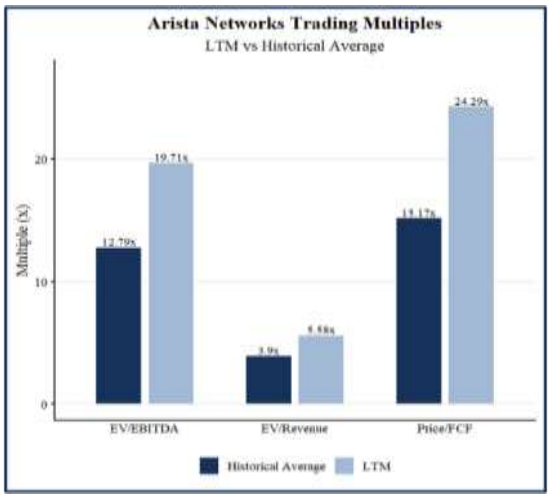
Revenue Round Tripping

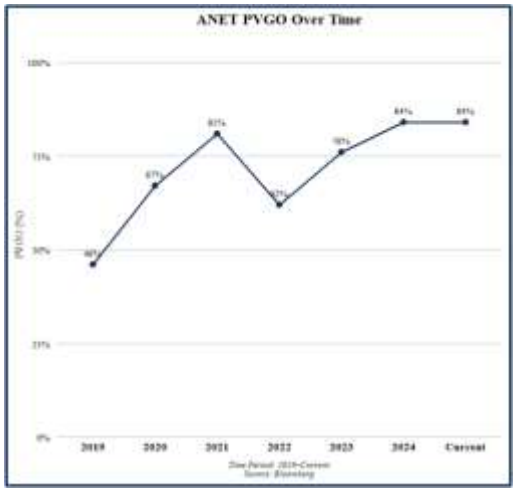
The entire value of the AI industry is being overinflated by the mechanism of Revenue Round tripping or Circular Financing. Revenue Round tripping is when companies buy each other's products or capacity, which then creates an illusion of demand. This is seen as Nvdia invests billions of dollars into open ai while simultaneously selling its gpus. Open Ai uses that funding to purchase those same GPU's which inflate Nvdias revenue. AMD supplies open ai with chips and ties deals to stock warrants, giving them options to buy open ai at a certain stock price which then lifts its own valuation. Microsoft provides azure cloud infrastructure hosting the gpus and then reports record ai driven cloud growth and open ais valuation skyrockets on promise of this capacity. Arista itself isn't actively participating in circular financing; however, the broader AI/data center ecosystem creates circular demand. This artificially inflates the perceived Total addressable market and long-term growth assumptions that are baked into valuations. This is shown in the Discounted Cash Flow Valuation with an implied terminal growth rate of 10.2% in the EBITDA terminal value.

Valuation Excess

Valuation analysis was performed to compare Arista's current trading levels to its historical averages. Three main valuation measures were reviewed: EV/EBITDA, EV/Revenue, and Price-to-Free-Cash-Flow. Each of these was measured against Arista's long-term averages to see how much investors are paying today relative to the past. The results show that Arista is trading 54 percent above its historical EV/EBITDA average, 43 percent above its historical EV/Revenue average, and 60 percent above its historical Price-to-Free-Cash-Flow average. These differences indicate that investors are paying meaningfully higher prices for the same level of earnings, revenue, and cash flow than they have historically.

The purpose of this comparison is to determine whether the market is placing unusually high expectations on the company. The elevated multiples suggest that investors expect Arista's recent growth to continue at a strong pace and are willing to pay a premium for it. This is important because Arista's results are closely tied to hyperscaler spending cycles, which have shown clear periods of acceleration and slowdown in the past. When these cycles slow, Arista's revenue growth typically follows.



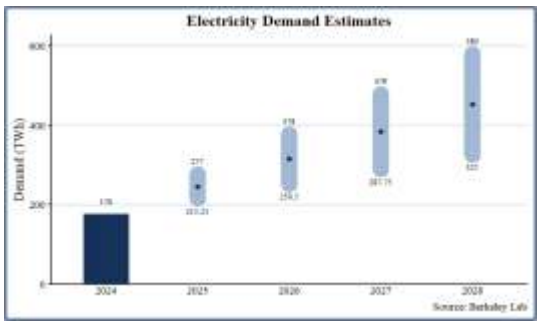


Investment Thesis

Present Value of Growth Opportunity

Present Value of Growth Opportunities (PVGO) was calculated to determine how much of Arista's current share price is driven by expectations of future growth rather than existing earnings. The analysis shows that approximately 84 percent of Arista's stock price is composed of these growth expectations. This indicates that a significant portion of anticipated future performance is already reflected in the current valuation, leaving limited upside if growth normalizes or falls short of market expectations.

Electricity Demand



Energy Constraints

For the energy constraints affecting Arista, total electricity demand from data centers increased from 58 terawatt hours in 2023 to 176 terawatt hours in the same year and is projected to rise to between 325 and 580 terawatt hours by 2028. This level of energy consumption is equivalent to powering between 30 and 50 million homes. Meeting this demand would require a significant expansion of power infrastructure. Constructing a nuclear reactor, one of the few scalable sources of carbon-free electricity, typically takes ten years to plan, permit, and complete. Based on projected demand, meeting the low end of the energy requirement would necessitate approximately 41 new nuclear reactors, while meeting the high end would require approximately 73 reactors. Only two nuclear reactors have been completed in the last thirty years. Given the time required for construction and permitting, it is highly unlikely that the United States could meet the projected energy needs by 2028. These constraints create a physical limit on the expansion of data centers, which in turn directly limits Arista's revenue growth because the company is closely tied to hyperscaler capital expenditures and new data-center buildouts.

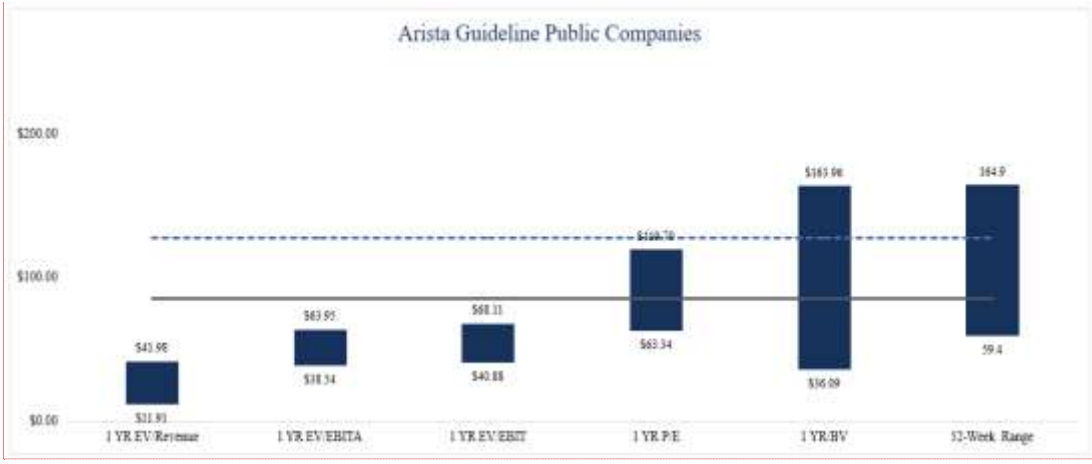
Impact on Arista

Arista derives a significant portion of its revenue from a few large cloud providers, including Meta, Microsoft, Amazon, and Google. Historical events highlight the risk of this concentration. In Q4 2019, moderated data-center investment by cloud providers led Arista's stock to fall 25–30%. More recently, in October 2023, Meta's reduced capital expenditures caused Arista shares to drop nearly 5% after hours. In Q4 2024 and early 2025, Meta's revenue contribution to Arista fell from 21% to 15%, coinciding with a 5.7% post-earnings stock decline. These examples demonstrate that Arista's growth and stock performance are highly sensitive to hyperscaler spending, illustrating the revenue concentration risk and cyclical nature of the business.

Historical Drawdowns



Comparable Company Analysis



Commented [JW8]: COMPS DONE

Selection Philosophy

The first method used to value Arista was a comparable companies model, which values a firm by benchmarking its trading multiples (here EV/Revenue, EV/EBITDA, EV/EBIT, P/E and P/B) against a carefully selected peer group with similar business models, growth profiles, and risk characteristics. To select Arista's peer firms, both quantitative and qualitative methods were used. To get a baseline for potential companies, a k-nearest-neighbors model was run to determine what firms are nearest to ANET based on a mixture of industry similarity and financial metrics. From this initial list of 10-20 companies, further qualitative investigation was done on individual business models and industry standing to come up with the final peers. The companies used in the valuation are: FFIV, CSCO, VIAV, CIEN, EXTR, and MSI.

Multiples

	Mean	Median	High	Low
EV / Revenues	31.21x	31.79x	40.56x	11.96x
EV / EBITDA	104.04x	75.35x	213.68x	41.08x
EV / EBIT	161.98x	137.70x	327.19x	47.54x
P/E	334.69x	306.84x	670.00x	54.57x
P/B	129.20x	77.85x	323.68x	36.97x

Using our peer firms, high, low, median, and mean multiples were computed for each above metric. After removing outlier multiples that would have skewed the valuation, the multiples were applied to Arista's financials to estimate valuation. The base-case valuation is based on the median, and the best- and worst- cases use the high and low, respectively. The application of these multiples leads to an average price of $97.89, a projected return of -23.85%.

Weighting Philosophy

	Weight
CISCO SYSTEMS	17%
CIENA CORPORATION	22%
F5, INC.	17%
MOTOROLA SOLUTIONS	16%
VIAVI SOLUTIONS	14%
EXTREME NETWORKS	13%

Comparable company weights are based on a quantitative similarity score generated by a custom k-nearest-neighbors framework, which calculates a blended distance metric using a mix of standardized fundamentals and a penalty or bonus for industry similarity. Distances were converted into inverse similarity scores, with closer and more industry-aligned peers receiving higher weights.

Discounted Cash Flow Analysis

Football Field



DCF Assumptions

For the discounted cash flow analysis, a long-term revenue growth rate of 3% was assumed, reflecting the economy's historical growth of 2–3% annually and Arista's position in the high-growth AI and data-center networking market. The weighted average cost of capital (WACC) was calculated using a five-year monthly beta of 1.39 to capture the company's historical volatility relative to the market. An EV/EBITDA exit multiple of 36x was applied, based on a weighted average of Arista's guideline public companies, to estimate terminal value and maintain consistency with comparable market valuations.

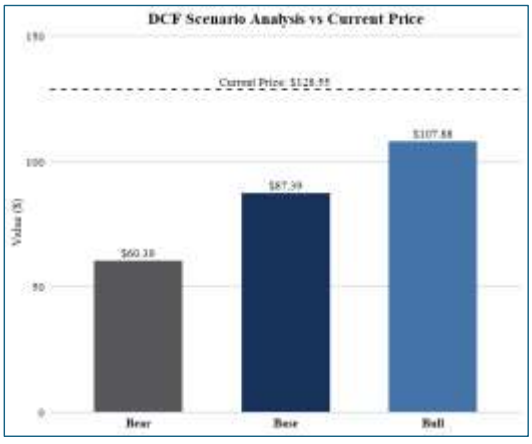
Terminal Value Weighting

The terminal value was calculated using a weighted approach: 65% based on a perpetual growth method and 35% based on an EV/EBITDA multiple of 36x. The higher weighting on perpetual growth reflects uncertainty around the EV/EBITDA multiple for an AI-focused company, given the difficulty in predicting what investors may pay in the future. Within the EV/EBITDA portion, a 40% weighting was applied to the guideline public company comps to avoid overemphasizing market sentiment and double counting the impact of comparable companies.

Scenario Assumptions

Three scenarios were modeled to capture potential outcomes for Arista. The bear case assumed revenue growth in line with the industry at 13.6%, resulting in a price of $60.39. The base case used median revenue, operating cost, and margin projections from Bloomberg, producing a price of $87.39, which served as the primary valuation. The bull case applied the most optimistic projections, reflecting potential upside in AI and data-center networking, and resulted in a price of $107.88. These scenarios highlight the sensitivity of Arista's valuation to different growth and operational assumptions.

Scenario Outputs



Final Weighting/ Sensitivity Analysis

Final Weighting



Weighting Explanation

The final valuation weighted the DCF at 60% and the EV/EBITDA comps at 40%. The higher weighting on the DCF reflects the perception that the market was overvalued, making the comps less representative of fair value. Additionally, because the EV/EBITDA multiple was already derived from the comps, a lower weighting helped avoid double-counting. Some limitations in the comps also existed, as not all guideline companies had meaningful AI exposure, reducing their comparability.

Sensitivity Analysis

A sensitivity analysis was performed on the DCF-derived share price to assess how changes in key assumptions impact valuation. The analysis showed that the share price is most sensitive to the weighted average cost of capital (WACC), followed by the EV/EBITDA multiple, and finally the long-term growth rate. This highlights the importance of accurately estimating discount rates and market multiples when valuing Arista.

Exit EBITDA Multiple

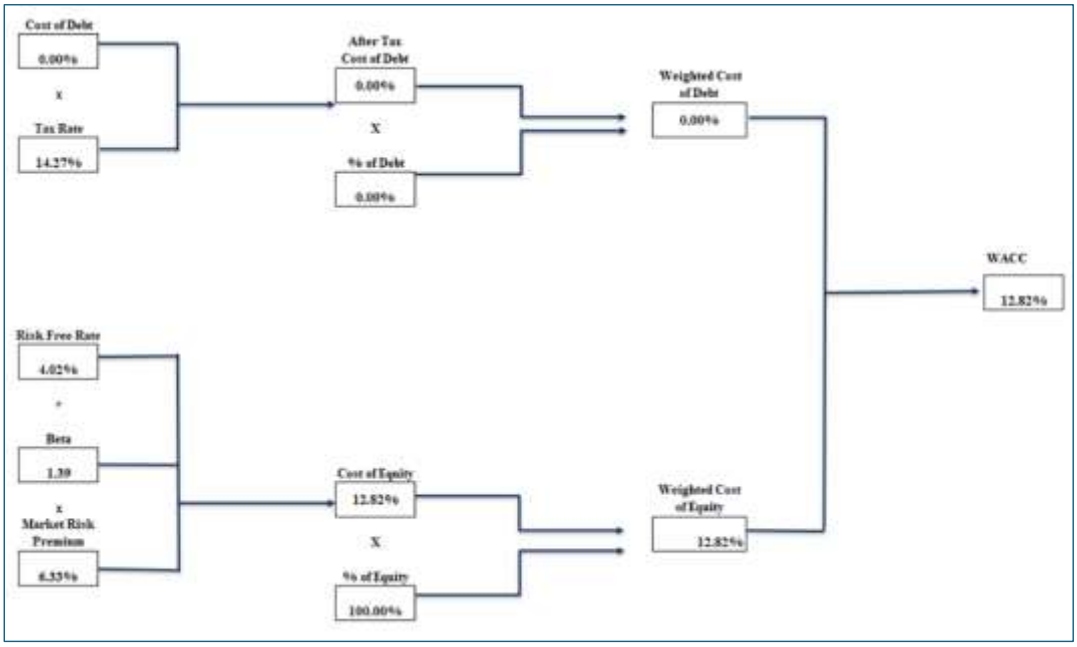
WACC: \ $148.38	34.0x	35.0x	**36.0x**	37.0x	38.0x
15.8%	128.19	131.45	134.72	137.98	141.24
14.8%	132.31	135.69	139.07	142.45	145.83
13.8%	136.62	140.12	143.62	147.13	150.63
12.8%	141.11	144.75	148.38	152.01	155.64
11.8%	145.82	149.58	153.35	157.12	160.88
10.8%	150.73	154.64	158.55	162.45	166.36
9.8%	155.88	159.93	163.98	168.04	172.09

Long-Term Growth Rate

WACC: \ $46.72	1.0%	2.0%	**3.0%**	4.0%	5.0%
15.8%	33.74	35.12	36.71	38.58	40.78
14.8%	35.87	37.52	39.45	41.74	44.49
13.8%	38.36	40.36	42.73	45.58	49.08
12.8%	41.31	43.77	46.72	50.35	54.90
11.8%	44.85	47.91	51.67	56.39	62.50
10.8%	49.15	53.05	57.95	64.28	72.80
9.8%	54.49	59.57	66.14	74.98	87.47

Beta & WACC

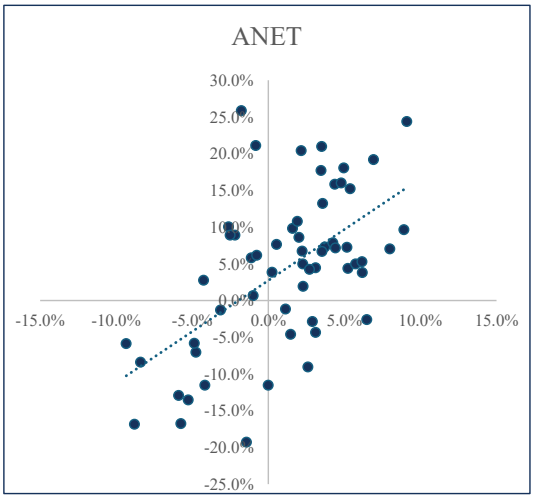
WACC Computation



WACC Explanation

Arista carries no debt, meaning its capital structure is entirely equity-based, which simplifies the calculation of its cost of capital. A five-year monthly beta of 1.39 was calculated using linear regression to measure the company's historical volatility relative to the S&P 500, with weekly beta also considered for comparison. This beta captures the systematic risk of the firm and was used to estimate the cost of equity. An analysis of the optimal capital structure suggested a WACC of 12.2%; however, this was not applied in the final valuation because it did not materially affect the DCF outcome or investment recommendation. Using the five-year monthly beta in the Weighted Average Cost of Capital provides a more stable and statistically reliable measure of long-term market risk.

Beta Calculation



Final Recommendation

Capital Appreciation Benefit



Capital appreciation is the first criterion for any investment opportunity- buy low, sell high, and reap the capital gains difference. According to both comparable company and discounted cash flow models, Arista offers no capital appreciation benefit, with a current price of $128.55, and a weighted-average projected valuation of $88.54.

Diversification Benefit



The second investment criterion for potential investors is diversification benefit. Compared to its peers, Arista has offered a diversification benefit, with a positive and statistically significant Jensen's Alpha over the past five years. No other peer firms had a statistically significant alpha. For investors looking for AI-industry exposure, ANET has offered positive risk-adjusted return.

Dividend Income



The third investment criterion is dividend income. Stable, growing dividends are a source of revenue for potential investors. However, Arista has never paid any dividends to shareholders in the company's 11-year history. Furthermore, in the most recent quarterly report, ANET stated "we have not paid dividends in the past and do not intend to pay dividends for the foreseeable future."

Share Repurchases



The final investment criterion is share repurchase. Arista grades out favorably in this category, completing a $1.2 billion stock repurchase program in May 2025, and dedicating $1.5 billion more to stock repurchases in the future. The current year has been Arista's most active in terms of repurchases, indicating a positive catalyst for investors.

SELL

In sum, Arista is a high-quality, strategically important player in cloud and AI networking, but the current share price embeds an overly optimistic growth path. Our blended valuation – a 60%/40% weighting of DCF and EV/EBITDA comps – implies fair value of about $88.54 per share versus a current price near $128.55, with all scenarios pointing to double-digit downside and a Tobin's Q more than four times the peer average. Roughly 84% of the stock price is attributable to PVGO, leaving little margin for error in an AI ecosystem distorted by circular financing, hyperscaler spending cycles, and energy constraints that may cap data-center build-outs. These pressures compound company-specific risks, including customer concentration in a few cloud titans, rising litigation, uneven ESG performance around data privacy and shareholder rights. While Arista offers diversification benefits and has stepped up share repurchases, it fails our capital-appreciation and dividend-income tests, so we view the risk/reward as skewed to the downside and maintain a SELL recommendation.

Appendix: DCF

Income Statement

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Revenue	4,381	5,860	7,003	8,878	10,721	12,811	15,244	18,064
Cost of revenue	(1,706)	(2,230)	(2,512)	(3,161)	(3,956)	(4,736)	(5,788)	(7,039)
Gross Profit	**2,676**	**3,630**	**4,491**	**5,717**	**6,765**	**8,075**	**9,456**	**11,024**
Operating Expenses	(1,149)	(1,373)	(1,547)	(1,841)	(2,167)	(2,588)	(3,107)	(3,682)
Operating profit	**1,527.1**	**2,257.2**	**2,944.6**	**3,876.2**	**4,597.9**	**5,487.1**	**6,348.8**	**7,342.4**
Interest income	28	152	311	343	478	645	846	1,083
Other income	27	12	9	9	9	9	9	9
Pretax profit	**1,581.8**	**2,422.0**	**3,265.0**	**4,228.9**	**5,085.8**	**6,141.2**	**7,203.9**	**8,435.1**
Taxes	(229)	(335)	(413)	(577)	(695)	(839)	(984)	(1,152)
Net income	**1,352.4**	**2,087.3**	**2,852.1**	**3,651.4**	**4,391.3**	**5,302.6**	**6,220.2**	**7,283.2**
Depreciation & amortization	63	71	62	257	277	220	173	136
EBITDA	**1,590**	**2,328**	**3,007**	**4,133**	**4,875**	**5,707**	**6,522**	**7,478**
Stock based compensation	231	297	355	451	544	650	774	917
Adjusted EBITDA	**1,821**	**2,625**	**3,362**	**4,583**	**5,419**	**6,357**	**7,295**	**8,395**

Operating Growth Rates

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/22*	*12/31/22*	*12/31/22*	*12/31/22*	*12/31/22*	*12/31/22*	*12/31/22*
Revenue growth		34%	20%	27%	21%	19%	19%	18%
Gross profit margin	61%	62%	64%	64%	63%	63%	62%	61%
Opex % of sales	26%	23%	22%	21%	20%	20%	20%	20%
Tax rate	14%	14%	13%	14%	14%	14%	14%	14%

Appendix: DCF

Balance Sheet

Fiscal year	**2023A**	**2024A**	**2025A**	**2026A**	**2027A**	**2028A**	**2029A**
Fiscal year end date	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Cash & equivalents, ST and LT marketable securities	5,008	8,303	11,919	16,273	21,712	28,116	35,709
Accounts receivable & Other Receivables)	1,034	1,140	1,446	1,746	2,086	2,483	2,942
Inventories	1,945	1,835	2,308	2,889	3,459	4,227	5,141
Deferred Tax Assets	946	1,440	1,826	2,205	2,635	3,135	3,715
Other current assets	413	632	632	632	632	632	632
Property, plant & equipment	102	99	134	185	231	263	274
Goodwill	357	331	274	206	124	27	(88)
Other assets	152	263	263	263	263	263	263
Total assets	**9,956.6**	**14,043.9**	**18,802.6**	**24,400.4**	**31,142.4**	**39,146.7**	**48,589.4**
Accounts payable	435	381	480	600	719	878	1,068
Other current liabilities	569	624	791	955	1,141	1,358	1,609
Deferred revenue (current)	915	1,727	2,190	2,644	3,160	3,760	4,455
Other non current liabilities	818	1,317	1,669	2,016	2,409	2,867	3,397
Total liabilities	**2,738**	**4,049**	**5,130**	**6,216**	**7,429**	**8,863**	**10,529**
Common stock	2,108	2,466	2,916	3,460	4,110	4,884	5,800
Retained earnings	5,114	7,542	10,770	14,738	19,617	25,414	32,273
Other comprehensive income	(3)	(13)	(13)	(13)	(13)	(13)	(13)
Total equity	**7,219**	**9,995**	**13,673**	**18,185**	**23,714**	**30,284**	**38,060**
Balance check	*0*	*0*	*0*	*0*	*0*	*0*	*0*

Appendix: DCF

Cash Flow Statement

Fiscal year Fiscal year end date	2025A *12/31/25*	2026A *12/31/26*	2027A *12/31/27*	2028A *12/31/28*	2029A *12/31/29*
Net income	3,651	4,391	5,303	6,220	7,283
Depreciation and amortization	257	277	220	173	136
Stock based compensation	451	544	650	774	917
Decreases / (Increases) in working capital assets	(1,165)	(1,260)	(1,340)	(1,665)	(1,953)
Increases / (Decreases) in working capital liabilities	728	739	820	977	1,136
Other non current assets	0	0	0	0	0
Other non current liabilities	353	347	393	458	530
Cash from operating activities	**4,274**	**5,038**	**6,046**	**6,936**	**8,049**
Capital expenditures	(235)	(260)	(184)	(108)	(32)
Cash from investing activities	**(235)**	**(260)**	**(184)**	**(108)**	**(32)**
	0	0	0	0	0
Long term debt					
Commercial paper/ Revolver	0	0	0	0	0
Share repurchases	(424)	(424)	(424)	(424)	(424)
Common dividends	0	0	0	0	0
Cash from financing activities	**(424)**	**(424)**	**(424)**	**(424)**	**(424)**
Net change in cash during period	**3,616**	**4,354**	**5,438**	**6,404**	**7,594**

Property, Plant & Equipment

Fiscal year Fiscal year end date	2022A *12/31/22*	2023A *12/31/23*	2024A *12/31/24*	2025A *12/31/25*	2026A *12/31/26*	2027A *12/31/27*	2028A *12/31/28*	2029A *12/31/29*
Beginning of period				98,845	133,667	185,193	230,861	263,070
Plus: Capital expenditures	44,644	34,434	32,032	235,000	260,000	184,011	108,021	32,032
Less: Depreciation	(25,600)	(31,700)	(34,000)	(200,178)	(208,474)	(138,343)	(75,812)	(20,879)
End of period		**101,580**	**98,845**	**133,667**	**185,193**	**230,861**	**263,070**	**274,223**

Appendix: DCF

Property, Plant & Equipment

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Beginning of period				99	134	185	231	263
Plus: Capital expenditures	45	34	32	235	260	184	108	32
Less: Depreciation	(26)	(32)	(34)	(200)	(208)	(138)	(76)	(21)
End of period		**102**	**99**	**134**	**185**	**231**	**263**	**274**
D&A related to PP&E as a % of capex	57.3%	92.1%	106.1%	85.2%	80.2%	75.2%	70.2%	65.2%

IMPUTING TOTAL DEPRECIATION & AMORTIZATION

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
D&A not related to PP&E	37	39	28	57	68	82	97	115
as % of revenue	0.85%	0.66%	0.40%	0.64%	0.64%	0.64%	0.64%	0.64%
Depreciation & Amortization - Total	**63**	**71**	**62**	**257**	**277**	**220**	**173**	**136**

Other Non-Current Assets/Retained Earnings

Fiscal year	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Beginning of period	331	274	206	124	27
Less: Amortization of intangible assets	(57)	(68)	(82)	(97)	(115)
Plus: Additions	-	-	-	-	-
End of period	**274**	**206**	**124**	**27**	**(88)**
RETAINED EARNINGS					
Beginning of period	7,542	10,770	14,738	19,617	25,414
Plus: Net income	3,651	4,391	5,303	6,220	7,283
Less: Dividends	0	0	0	0	0
Less: Repurchases	(424)	(424)	(424)	(424)	(424)
End of period	**10,770**	**14,738**	**19,617**	**25,414**	**32,273**

Appendix: DCF

Revolver

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Revolver needs analysis								
Cash at beginning of period (BOP)				8,303	11,919	16,273	21,712	28,116
Less: Minimum cash balance				(5)	(6)	(7)	(9)	(11)
Plus: Free cash flows generated during period				3,616	4,354	5,438	6,404	7,594
Equals: Cash available (needed) to pay down (draw from) revolver				11,914	16,267	21,704	28,107	35,699
Commercial paper / Revolver								
Beginning of period	0	0	0	0	0	0	0	0
Draw / (paydown)	0	0	0	0	0	0	0	0
Discretionary borrowing / (paydown)	0	0	0	0	0	0	0	0
End of period	0	0	0	0	0	0	0	0

Interest Expense/Income

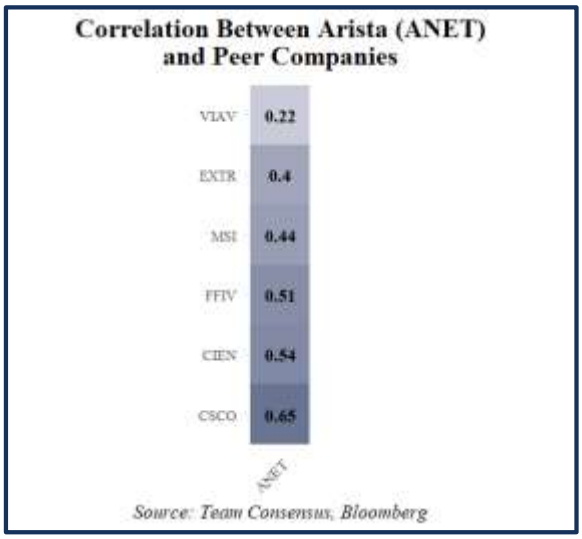
Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Total interest expense (from I/S)	0	0	0	0	0	0	0	0
Commercial Paper / Revolver								
Weighted average interest rate	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%
End of period balance (from B/S)	0	0	0	0	0	0	0	0
Interest expense	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
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Long term debt								
End of period balance (from B/S)		0	0	0	0	0	0	0
Weighted average interest rate		0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Interest expense		**0**	**0**	**0**	**0**	**0**	**0**	**0**
Interest rate on cash								
Weighted average interest rate on cash		3%	4%	3%	3%	3%	3%	3%
Interest income	28	152	311	343	478	645	846	1,083

Appendix: DCF

Interest Expense/Income

Fiscal year	2022A	2023A	2024A	2025P	2026P	2027P	2028P	2029P
Fiscal year end date	*12/31/22*	*12/31/23*	*12/31/24*	*12/31/25*	*12/31/26*	*12/31/27*	*12/31/28*	*12/31/29*
Net income	1,352	2,087	2,852	3,651	4,391	5,303	6,220	7,283
Basic shares	1,226	1,237	1,256	1,257	1,257	1,259	1,261	1,263
Basic EPS	$1.10	$1.69	$2.27	$2.91	$3.49	$4.21	$4.93	$5.77
Diluted Shares	1,266	1,269	1,281	1,281	1,282	1,284	1,285	1,288
Diluted EPS	**$1.07**	**$1.65**	**$2.23**	**$2.85**	**$3.42**	**$4.13**	**$4.84**	**$5.66**
$ amount of shares repurchased				424	424	424	424	424
$ amount of new shares issued				451	544	650	774	917
Average share price				$111.91	$134.59	$162.51	$190.64	$223.22
Share price increase					20%	21%	17%	17%
Basic Shares - BOP				1,259	1,500	2,394	3,788	5,624
Net change in basic shares				240	895	1,394	1,836	2,209
Basic shares - EOP				1,500	2,394	3,788	5,624	7,832
Basic shares - average				1,379	1,947	3,091	4,706	6,728

Appendix: Investment Criteria

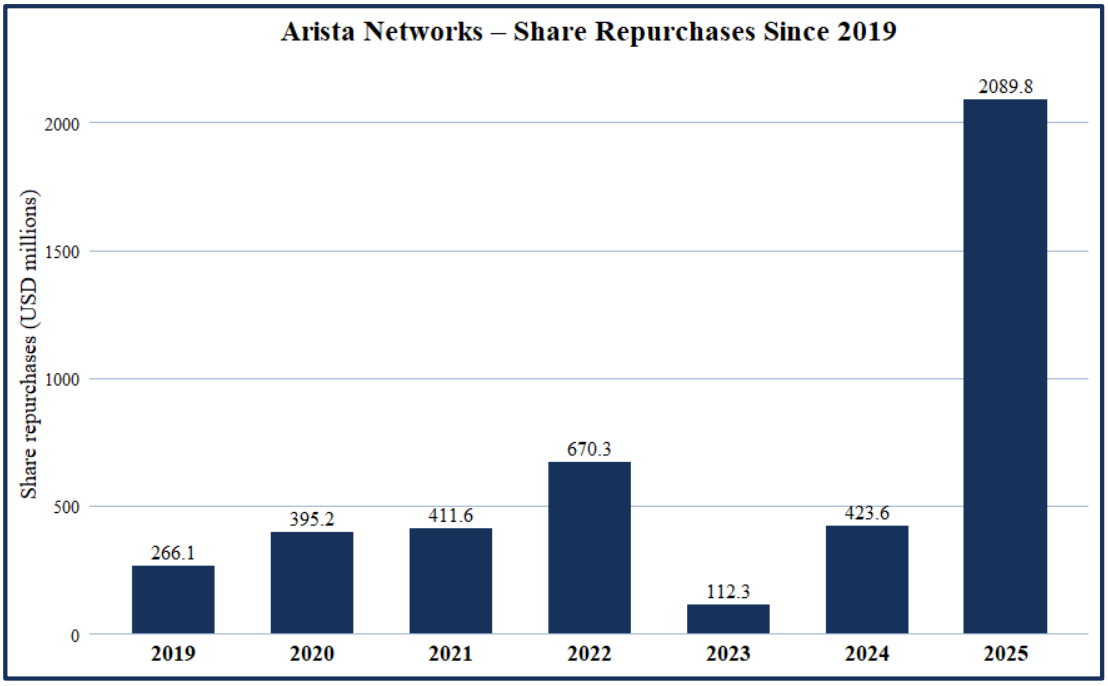


3-Factor Beta & Jensen's Alpha

For ANET & Selected Peers

	Beta	Jensen's Alpha
ANET	1.24	3.32
FFIV	0.89	0.16
CIEN	1.04	2.25
CSCO	0.85	0.17
MSI	0.99	0.48
VIAV	0.83	0.33
EXTR	1.46	1.67

Only ANET's alpha is statistically significant at the 5% level.



Appendix: M&A Activity

VeloCloud Networks, LLC.



July 1st, 2025

Pluribus Networks, Inc.



September 20th, 2022

Arista has demonstrated limited but strategic mergers and acquisition strategies since its 2004 IPO, completing just six acquisitions. The company began acquiring in 2018, when it bought Mojo Networks, Inc and Metamako LP. Today, the most relevant deals include the acquisition of Pluribus Networks, Inc and VeloCloud LLC. Arista acquired Pluribus in late 2022 with an aim to improve its Unified Cloud Networking Service. Pluribus was a software pioneer, developing a product called the "Unified Cloud Fabric," which Arista was thereafter able to fold into its own product, also called the Unified Cloud Fabric. Arista's product currently runs software-defined networks with switches, routers, servers, and DPUs to allow customers access to real-time analytics and faster troubleshooting. Additional benefits from the Pluribus acquisition included stronger ties with Nvidia and software vendor Ericsson. The more recent acquisition took place earlier this year, on July 1st, when Arista purchased VeloCloud from BroadCom. VeloCloud specialized in offering hardware platforms with secure firewalls and application-optimized SD-WAN. Arista's goal going forward will be to bridge a gap between enterprise and Cloud WAN access, per Arista CEO Ullal.

Appendix: Arista Guideline Public Companies

	Year 1 Forecast - Calendar Year					
	EV / Revenues	EV / EBITDA	EV / EBIT	P/E	P/B	PEG ratio
Arista	17.96x	36.65x	37.25x	46.09x	12.66x	2.30x
Cisco	5.43x	14.71x	16.01x	25.07x	6.26x	1.26x
Ciena	6.16x	48.15x	57.08x	22.93x	10.21x	4.33x
F5, Inc	4.24x	11.57x	12.45x	22.70x	3.55x	8.44x
Motorola Solutions	6.13x	18.92x	20.46x	29.83x	22.76x	3.29x
Viavi Solutions	3.17x	15.36x	18.67x	42.60x	5.07x	-
Extreme Networks	1.90x	11.76x	12.92x	42.90x	16.14x	2.15x

Outlier Identification						
Means	4.50x	20.09x	22.93x	31.01x	10.67x	3.89x
Standard Deviation	1.72x	14.03x	17.02x	9.45x	7.45x	2.79x
Add: 2 Standard Deviations	7.95x	48.15x	56.97x	49.91x	25.57x	9.48x
Less: 2 Standard Deviations	1.06x	-7.98x	-11.11x	12.10x	-4.24x	-1.69x

Benchmarks						
MIN	1.90x	11.57x	12.45x	22.70x	3.55x	1.26x
MAX	6.16x	18.92x	20.46x	42.90x	16.14x	8.44x
Median	4.83x	14.71x	16.01x	27.45x	6.26x	3.29x
Mean	4.50x	14.47x	16.10x	31.01x	10.67x	3.89x
Weighted Average	4.72x	14.50x	16.08x	29.74x	8.14x	3.89x
Median Benchmarking	**271.67%**	**22.05%**	**12.20%**	**-34.59%**	**186.96%**	**445.96%**
Mean Benchmarking	**298.72%**	**24.14%**	**11.52%**	**-42.09%**	**68.36%**	**361.40%**
🏛 ARISTA NETWORKS, INC. (XNYS:ANET)	**Revenue**	**EBITDA**	**EBIT**	**EPS**	**BV**	**LTG**
	8,888.1	4,355.1	4,284.3	2.8	10.2	20.1%
Median						
EV	42,942.8	64,077.8	68,571.4	98,319.8	81,934.3	233,913.4
Net Debt	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2
Equity Value	**41,070.6**	**62,205.6**	**66,699.2**	**96,447.6**	**80,062.1**	**232,041.2**
Shares Outstanding	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3
Share Price	**32.6**	**49.4**	**53.0**	**76.6**	**63.6**	**184.3**
High						
EV	54,734.7	82,409.6	87,645.1	152,605.9	208,342.3	597,234.4
Net Debt	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2
Equity Value	52,862.5	80,537.4	85,772.9	150,733.7	206,470.1	595,362.2
Shares Outstanding	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3
Share Price	**42.0**	**64.0**	**68.1**	**119.7**	**164.0**	**472.8**
Low						
EV	16,869.0	50,400.6	53,351.4	**81,629.4**	**47,513.5**	**90,485.4**
Net Debt	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2
Equity Value	14,996.8	48,528.4	51,479.2	79,757.2	45,441.3	88,613.2
Shares Outstanding	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3
Share Price	**11.9**	**38.5**	**40.9**	**63.3**	**36.1**	**70.4**
	41,930.8	63,156.1	68,905.6	106,363.4	105,955.4	276,441.3
	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2	1,872.2
	40,058.6	61,283.9	67,033.4	104,491.2	104,083.2	274,569.1
	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3	1,259.3
	31.8	**48.7**	**53.2**	**83.0**	**82.7**	**218.0**